skyrocket as the Hudson River turns into a major trade artery. Both loans are to be repaid within a year.

The year passes. The Dutch merchant sells the land he's bought at a handsome markup and repays your money with the interest he promised. Your father is pleased. But your little brother in Madrid is getting nervous. The war with France ended well for the king of Spain, but he has now embroiled himself in a conflict with the Turks. He needs every penny to finance the new war, and thinks this is far more important than repaying old debts. Your brother sends letters to the palace and asks friends with connections at court to intercede, but to no avail. Not only has your brother not earned the promised interest – he's lost the principal. Your father is not pleased.

Now, to make matters worse, the king sends a treasury official to your brother to tell him, in no uncertain terms, that he expects to receive another loan of the same size, forthwith. Your brother has no money to lend. He writes home to Dad, trying to persuade him that this time the king will come through. The paterfamilias has a soft spot for his youngest, and agrees with a heavy heart. Another 10,000 gold coins disappear into the Spanish treasury, never to be seen again. Meanwhile in Amsterdam, things are looking bright. You make more and more loans to enterprising Dutch merchants, who repay them promptly and in full. But your luck does not hold indefinitely. One of your usual clients has a hunch that wooden clogs are going to be the next fashion craze in Paris, and asks you for a loan to set up a footwear emporium in the French capital. You lend him the money, but unfortunately the clogs don't catch on with the French ladies, and the disgruntled merchant refuses to repay the loan.

Your father is furious, and tells both of you it is time to unleash the lawyers. Your brother files suit in Madrid against the Spanish monarch, while you file suit in Amsterdam against the erstwhile wooden-shoe wizard. In Spain, the law courts are subservient to the king – the judges serve at his pleasure and fear punishment if they do not do his bidding. In the Netherlands, the courts are a separate branch of government, not dependent on the country's burghers and princes. The court in Madrid throws out your brother's suit, while the court in Amsterdam finds in your favour and puts a lien on the clog-merchant's assets to force him to pay up. Your father has learned his lesson. Better to do business with merchants than with kings, and better to do it in Holland than in Madrid.